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Superama Corporation, Inc. v. Studionaginami, Inc., et al.

Demurrer with Motion to Strike the Complaint

BACKGROUND

This is a business tort action arising out a joint business venture between Plaintiff Superama Corporation, Inc. d/b/a USA Sumo and Defendants Studionaginami, Inc. ("Studionaginami"); Worldwide Sumo, LLC ("WWS"); Todd Yasui ("Yasui"); Behnam Karbassi ("Karbassi"); and Stephanie Heaston ("Heaston"). On June 26, 2025, Plaintiff filed the operative complaint against Studionaginami, WWS, Yasui, Karbassi, Heaston, and DOES 1 through 20, asserting causes of action for: (1) misappropriation of trade secrets in violation of Uniform Trade Secrets Act ("UTSA"); (2) negligent misrepresentation; (3) intentional misrepresentation; and (4) breach of contract. On August 25 and 28, 2025, Studionaginami, WWS, Yasui, Karbassi, and Heaston (collectively, "Defendants") filed their instant demurrer with motion to strike the complaint. Plaintiff filed an opposition only to the motion to strike.

PRELIMINARY MATTERS

As an initial matter, the court notes that the second cause of action is titled "negligent misrepresentation" in the complaint's caption page but is actually alleged as the third cause of action in the complaint (Compl., at p. 16, Ins.1-2). Likewise, the third cause of action is titled "intentional misrepresentation" in the complaint's caption page but is alleged as the second cause of action in the complaint (Compl., at p. 14, Ins. 1-2). The demur addresses these causes of

action by their designation in the complaint not the title page.

DISCUSSION

Defendants demur to the second cause of action for intentional misrepresentation and third cause of action for negligent misrepresentation (the “misrepresentation claims”) to the complaint on the grounds that the first cause of action for trade secrets misappropriation supersedes the misrepresentation claims.

California Trade Secrets Act’s (“CUTSA”) Preemption

The California Trade Secret Act provides the exclusive civil remedy for conduct falling within its terms and preempts other civil remedies based upon misappropriation of a trade secret. It therefore preempts claims – including Section 17200 claims – based on the same nucleus of facts as trade secret misappropriation. (*Snapkeys, Ltd. v. Google LLC* (N.D. Cal. 2020) 442 F.Supp.3d 1196, 1205; *K.C. Multimedia, Inc. v. Bank of America Technology & Operations, Inc.* (2009) 171 Cal.App.4th 939, 958.) However, preemption does not affect contractual remedies and civil remedies that are not based upon misappropriation of a trade secret. At the pleadings stage, the analysis asks whether, stripped of facts supporting trade secret misappropriation, the remaining factual allegations can be reassembled to independently support other causes of action. (*Snapkeys* at p. 1205.)

With respect to the misrepresentation claims, the complaint alleges, among other things, that around May 2024, Yasui on behalf of Studionaginami approached Plaintiff’s director, Andrew Freud and proposed a partnership to jointly produce live sumo wrestling events. (Compl., ¶¶48, 59.) Yasui also promised to invest in Plaintiff to further expand its sumo wrestling events and assist in the development and expansion of its business (the “Misrepresentations”). (Id.) Yasui, Heaston, and Karbassi reiterated these Misrepresentations to Freud and Chihiro Sakuta on July 2, 2024, in person at Blankspaces in Santa Monica; and during Google meetings and video calls that took place on July 9, 2024, July 17, 2024, July 24, 2024, August 2, 2024, August 14, 2024, and September 25, 2024. (Id.)

On July 2, 2024, Yasui, Heaston, and Karbassi also executed nondisclosure agreements (“NDAs”) affirming that they would not misappropriate

Plaintiff's trade secrets and confidential information to create sumo wrestling events. (Id., ¶¶49, 50, 60-61.) In or about October 2024, after stating they were no longer interested in the joint venture arrangement, Yasui, Heaston, and Karbassi promised not to use the trade secrets for their own venture. (Id.) At the time Defendants made the Misrepresentations, they knew or should have known that they were false and that Defendants had no intention of establishing an LLC or any joint venture with Plaintiff or complying with the NDAs. (Id., ¶¶51, 62.) Defendants intended for Plaintiff to rely on their Misrepresentations. (Id., ¶¶52, 63.) Plaintiff reasonably and justifiably relied on the Misrepresentations and was harmed by providing trade secrets and confidential information that it would not have otherwise provided. (Id., ¶¶53, 55-56, 64, 66.) Defendants further harmed Plaintiff by misappropriating and using Plaintiff's trade secrets and confidential information to create competing sumo wrestling events. (Id., ¶¶54, 65.)

Taking these allegations as true, the misrepresentation claims are based on the same nucleus of facts as Plaintiff's misappropriation of trade secrets claim under CUTSA. (See Compl., ¶¶14, 16-28, 32-34-45.) Plaintiff does not offer any arguments overcoming this defect in its pleading nor that it has any facts to support alleged misrepresentation that is materially distinct from the wrongdoing alleged in misappropriation of trade secrets claim under CUTSA, thus conceding the issue. Accordingly, the demurrer to the misrepresentation claims is sustained without leave to amend.

Motion to Strike Paragraph 46 of the Complaint

Defendants argue that Paragraph 46 of the complaint seeks a remedy not allowed under the California Uniform Trade Secrets Act. Specifically, Defendants contend that the complaint seeks punitive damages under the broader standard of Civil Code Section 3294, when CUTSA claims are held to a stricter standard under Civil Code Section 3426.3, subdivision (c). (See Civ. Code, § 3426.3, subd. (c) ["If willful and malicious misappropriation exists, the court may award exemplary damages in an amount not exceeding twice any award made under subdivision (a) or (b)."].)

Paragraph 46 alleges as follows: "USA Sumo is informed and believes and thereon alleges that the actions of Defendants, and each of them, and WWS were willful, oppressive, fraudulent, and malicious, in that

Defendants knowingly stole USA Sumo's proprietary business information and Trade Secrets with intent to injure USA Sumo. Naginami and WWS acquiesced, ratified and adopted the misappropriation of Trade Secrets by its members and managers, Todd Yasui, Behnam Karbassi, and Stephanie Heaston. USA Sumo is therefore entitled to exemplary damages and reasonable attorney fees and costs against all Defendants." (Compl., ¶46.)

In opposition, Plaintiff admits that remedies for the trade secret misappropriation are exclusively controlled by the CUTSA. (Opp. at 5:3-6.) Furthermore, *Neal v. Farmers Ins. Exchange* (1978) 21 Cal.3d 910 cited by Plaintiff for the proposition that courts have applied the standard under Civil Code Section 3294 to exemplary damages sought under Civil Code Section 3426.3, subdivision (c), applied Civil Code Section 3294 to uninsured motorist action, not an misappropriation of trade secret action. (See generally, *Neal v. Farmers Ins. Exchange* (1978) 21 Cal.3d 910, 920.) On the other hand, neither party disputes that the complaint alleges facts to support a claim for exemplary damages under Civil Code Section 3426.3, subdivision (c). As such, the complaint can be properly amended to plead the proper exemplary damages standard.

CONCLUSION

The court sustains without leave to amend Defendants' demurrer to the second and third causes of action. The court grants with leave to amend Defendants' motion to strike Paragraph 46 of the complaint.

Defendants shall give notice.